

Procurement Management - Key Terms Glossary

SECTION: Make-or-Buy Analysis

A technique to determine whether work should be done in-house or purchased from an outside source.

SECTION: Request for Proposal (RFP)

A procurement document used when the solution approach is not fully defined, asking sellers to propose how they would solve the problem.

SECTION: Request for Quotation (RFQ)

A procurement document used when the buyer knows exactly what is needed, asking sellers to quote a price.

SECTION: Firm Fixed Price (FFP)

A fixed-price contract where the price does not change regardless of the seller's actual costs.

SECTION: Cost Plus Fixed Fee (CPFF)

A cost-reimbursable contract where the buyer pays actual costs plus a fixed fee agreed in advance.

SECTION: Time and Materials (T&M;)

A hybrid contract type where the buyer pays for labor hours at a set rate plus materials used.

SECTION: Statement of Work (SOW)

A document describing a procurement item in enough detail for prospective sellers to determine if they can provide it.

SECTION: Sole Source

A procurement situation where only one supplier is qualified or available to provide the needed goods or services.

SECTION: Non-competitive Procurement

A procurement approach where a contract is awarded without a competitive bidding process.

SECTION: Contract Closure

The process of completing and settling a contract, including resolving any open items and formal acceptance.